



2. PUTTING IN PLACE STOP-LOSS ORDERS: ▼

Stoploss - 50% of Premium

Stoploss orders are an essential part of risk management in the swing buying approach. The initial for both the options will be 50% of the premium. For example: If the ATM call option is of ₹100, the stoploss will be at ₹50, and similarly, for the put option.

ATM call option is of ₹100, then stoploss will be at ₹50.

3. TRAILING THE REMAINING STOP - LOSS ORDER: ▼

If one stoploss order is triggered while the other option is still active, it is recommended to trail the stoploss order of the active option. The trailing stoploss level need increase by half the amount of option premium. If the call option's stoploss level is triggered, and the put option's premium is 170, the new following stoploss level for the put option is ₹85.

